

Saltmarsh Environmental Partners LLC

www.saltmarshenv.com

April 30, 2016

Michelle Roberts
Chief Financial Officer
Dyer and Sons

Re: Phase I Environmental Site Assessment, Dyer and Sons

Dear Ms. Roberts:

This letter sets out the terms on which this firm will conduct a Phase I Environmental Site Assessment of the subject property, and asks you to countersign it so the work can be put in the schedule. We expect the assessment to run about four months from commencement to submission of the final report. No field work has been performed, and none will be until a countersigned copy of this letter is back in our hands.

Scope and Approach

The assessment will be performed in general conformance with ASTM E1527-13 and the All Appropriate Inquiries rule at 40 CFR Part 312. In practice that means four things, in order. Standard historical sources will be reviewed, including aerial photography, fire insurance maps, the topographic series, and such county records as exist on fill, grading, and shoreline work. Regulatory database records will be obtained for the property and for the search radii the standard prescribes. A site reconnaissance will be conducted covering the property, and the adjoining properties as they can be observed from the property and from public rights of way. Interviews will be conducted with persons reasonably likely to have knowledge of the property's past use.

The estuarine setting adds a step we do not skip. Tidal influence, fill history, and past shoreline work are exactly the things the standard sources record poorly, and on a parcel of this kind they are usually where the answer lives. The reconnaissance will therefore be scheduled against the tide, so that the water edge of the parcel is walked rather than described from forty feet away at high water.

The deliverable is a written report identifying recognized environmental conditions, controlled recognized environmental conditions, and historical recognized

environmental conditions as those terms are defined in the standard, together with the data gaps encountered and our opinion of whether they are significant. Where *the record does not support a conclusion*, the report will say so in those words. That is a professional obligation rather than a hedge for its own sake, and I would rather write down what is not known than let a reader assume it was checked. A draft will be issued for your review, and one round of comment is included before the final is submitted.

The following are outside this scope: sampling of soil, sediment, groundwater, or building materials; any wetland delineation; and any Phase II work. If the assessment turns up a condition that warrants sampling, we will describe the condition, stop, and quote the additional work separately rather than proceed on our own authority.

Project Team

I will serve as Managing Principal and will read the report before it leaves this office, as I do with everything a lender or an agency will eventually see. John Sanchez, our Senior Scientist, will lead the records review and the reconnaissance. *Mary Foster, Field Technician*, will support the reconnaissance and keep the field record, including conditions, weather, and tide state on each visit. James Henderson, Environmental Scientist, will review the database findings and is the person to call if the scope has to open into sampling. All of us are available to Dyer and Sons through the course of the work; day to day, John Sanchez is the right first call.

Fee and Schedule

The work will be performed for a fixed fee of \$34,000, covering the historical records review, the database review, the site reconnaissance, the interviews, the draft and final reports, and one round of comment on the draft. Work will commence on May 10, 2016, subject to receipt of this letter countersigned and to site access. From that date we expect roughly four months to the final submission. The schedule assumes access to the property on reasonable notice and reasonable cooperation from the parties we ask to interview. Delay in one or the other is the most common reason a schedule of this kind slips, and I would rather say so now than explain it in September.

Fees and Payment

Invoices will be issued monthly against progress and are payable within thirty days of the invoice date. Out-of-pocket costs, including the database order and reproduction of the historical sources, are included in the fixed fee stated above;

there is no separate expense line on this engagement. Work outside the scope described above will not be performed without your written authorization and a separately agreed fee. Amounts unpaid after sixty days may, at our option, suspend further work, and you will have that in writing from me before it happens rather than after.

Term and Termination

The engagement begins on the commencement date stated above and ends on delivery of the final report, unless extended in writing. Either party may terminate on ten days' written notice. On termination you will owe that portion of the fixed fee corresponding to work performed through the termination date, and we will deliver the work product in whatever condition it then exists, together with the field record. Obligations that by their nature survive termination, including confidentiality and payment for work performed, survive it.

Confidentiality

Information you provide, and the findings of the assessment, will be treated as confidential and will not be released to a third party without your written consent, except where disclosure is required by law or by an agency with jurisdiction. That exception is not boilerplate. A condition carrying a statutory reporting duty will be reported, and you will hear it from us before or at the time it goes to the agency, never afterward. Our field notes and working files remain the property of this firm. The report is yours, for the purpose for which it was prepared.

Limitation of Liability

A Phase I assessment is an inquiry into reasonably ascertainable information within the scope of the standard. It is not a certification that the property is free of contamination, and no such certification is offered or implied. Findings rest on conditions as observed on the dates of the reconnaissance and on information available when the report is issued; conditions change, and records surface late. To the fullest extent permitted by law, the aggregate liability of this firm to Dyer and Sons arising out of this engagement, whether in contract, tort, or otherwise, is limited to the amount of the fee actually paid for the work. Reliance on the report is limited to the client named above; extension of reliance to any other party requires our written agreement.

Governing Law

This letter is governed by the laws of the state in which the subject property is situated, without regard to its conflict of laws provisions, and any action arising

under it will be brought in the courts of that state. Before either of us files anything, both of us agree to sit down once, in the same room, with the people who actually *did the work*.

If the foregoing reflects your understanding, please sign both copies where indicated and return one to my attention. Once it is back we will confirm the reconnaissance dates with you and set them against the tide. Please call me directly with any question on the scope or the terms; I would rather answer it now than have it raised for the first time in the report.

Sincerely,

Angela Flynn

Managing Principal

Date: April 30, 2016

Michelle Roberts

Chief Financial Officer, Dyer and Sons

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